

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17- Q

**QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1. For the quarterly period ended September 30, 2025

2. SEC Identification Number 23022

3. BIR Tax Identification No. 000-099-692-000

4. Exact name of registrant as specified in its charter

PANASONIC MANUFACTURING PHILIPPINES CORPORATION

5. Philippines

Province, Country or other jurisdiction of
incorporation or organization

6. (SEC Use Only)
Industry Classification Code:

**7. Ortigas Avenue Extension, Bo. Mapandan
Brgy. San Isidro, Taytay, Rizal**

Address of principal office

1920
Postal Code

8. (632) 8635-22-60 to 65

Registrant's telephone number, including area code

9. Not Applicable

Former address changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sections 4 and 8 of the RSA.

<i>Title of Each Class</i>	<i>Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding</i>
Common shares, ₱1.00 par value	

Class A

84,723,432

Class B

337,994,588

11. Are any or all of these securities listed on a Stock Exchange?

Yes [x] No []

If yes, state the name of such stock exchange and the classes of securities listed therein.

**As of September 30, 2025, 84,723,432 common shares are listed with the
Philippine Stock Exchange ("PSE").**

12. Check whether the registrant:

- (a) Has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 there under or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports):

Yes ☒ No ☐

- (b) Has been subjected to such filing requirements for the past 90 days.

Yes ☒ No ☐

PART I – FINANCIAL INFORMATION

ITEM 1: FINANCIAL STATEMENTS

The Unaudited Interim Condensed Consolidated Financial Statements of Panasonic Manufacturing Philippines Corporation (PMPC) and its Subsidiary, Precision Electronics Realty Corporation (PERC) as of and for the six-month period ended September 30, 2025 (with comparative figures as of March 31, 2025, and six-month period ended September 30, 2024) are included to this report. See attached Annex A.

ITEM 2: MANAGEMENT DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITIONS

PMPC is a manufacturer, importer, and distributor of electronic, electrical, mechanical, and electro-mechanical appliances, other types of machines, parts and components, batteries, and related products bearing the brand name, "Panasonic". PMPC, which is a subsidiary of Panasonic Holdings Corporation (PHC) Japan is the first Filipino Japanese joint venture operation in consumer electronics in the country. The primary products manufactured by PMPC are refrigerators, air conditioners, washing machines, and electric fans.

In October 2003, PMPC ceased using the "National" brand and unified the branding of all its products under the Panasonic brand. PMPC has a wide base of sales and service distribution centers strategically located in key municipalities, cities, and provinces all over the Philippines.

In 2011, PHC made Panasonic Electric Works Co., Ltd. (PEW) and SANYO Electric Co., Ltd. wholly owned subsidiaries. Consequently, with the said integration, PEW-Philippines and SANYO-Philippines ceased their existence as independent companies in the country. However, some of PEW operations with products under Life-solutions like solar panel business and other devices, as well as SANYO's commercial refrigeration businesses among others were integrated into the business operation of PMPC's Sales Division, Panasonic Philippines (PPH) effective April 1, 2012.

On March 19, 2013, the Securities and Exchange Commission (SEC) approved the extension of PMPC's corporate life for another 50 years or until May 15, 2063.

In 2021, PMPC marked the initial year of its business operation under the umbrella of Panasonic Living Appliances and Solutions (LAS) Company. In celebrating its golden anniversary in 2017, PMPC renewed its commitment to operate with dedication and continuing growth along with its corporate mission as a gesture of its gratitude for the continuing support of its loyal customers, business partners, and the communities where it operates, looking forward to the future with confidence, and focusing its efforts and resources on serving both the customers and society.

PMPC, as part of Panasonic Group, recognizes that the primary role of its business is to serve society in return for the use of its resources, thus devoting its business activities to the progress and development of society and the well-being of the people. This commitment serves as guidance for the Group in carrying out its operations and corporate activities.

The Company's strong point is speed with high quality. There's one roof operation for sales, engineering, and manufacturing and this makes the Company react to Philippine customer's demand quickly while making suitable products for Philippine customers such as Single Tub Washer, DC inverter Ref, Inverter Window etc. and the Company is offering quick service with high quality to the customers even in local areas.

However, Philippine market has been changing drastically and considerably. Customers become diverse and they have numerous types of demand. It is too complex, like young and old, basic and premium, metro and areas etc. Other brands started entering Philippine market substantially, but the Company has much wider product categories.

I. Results of Operations and Material Changes in Statements of Comprehensive Income

For the Six-month Period Ended September 30, 2025 vs 2024:

	For the Period Ended September 30		Horizontal Analysis		Vertical Analysis	
	2025	2024	Amount	%	2025	2024
<i>(In Thousand Pesos)</i>						
Net Sales	8,355,396	8,299,243	56,153	0.7%	100.0%	100.0%
Cost of Goods Sold	(6,871,155)	(7,055,017)	183,862	-2.6%	-82.2%	-85.0%
Gross Profit	1,484,241	1,244,226	240,015	19.3%	17.8%	15.0%
Selling Expenses	(446,709)	(415,206)	(31,503)	7.6%	-5.3%	-5.0%
General & Administrative Expenses	(701,872)	(678,936)	(22,936)	3.4%	-8.4%	-8.2%
Other Income, net	360,481	47,520	312,961	658.6%	4.3%	0.6%
Income Before Income Tax	696,141	197,604	498,537	252.3%	8.3%	2.4%
Income Tax	(150,503)	(44,429)	(106,074)	238.7%	-1.8%	-0.5%
Net Income	545,638	153,175	499,578	326.1%	7.8%	1.8%
Other Comprehensive Income	-	-	-	0%	0.0%	0.0%
Total Comprehensive Income	545,638	153,175	499,578	326.1%	7.8%	1.8%
Net Income Attributable to Equity Holders of the Parent Company	545,232	152,732	491,170	321.6%	7.7%	1.8%
Net Income Attributable to Non-controlling Interest	406	443	8,409	1898.1%	0.1%	0.0%
	545,638	153,175	499,578	326.1%	7.8%	1.8%

For the six-month period ended September 30, 2025, the Group generated net sales of ₱8,355.4 million, higher by 0.7% or ₱56.2 million from the same period last year due to sustained overall sales achievement. Cost of goods sold has dropped slightly as a result of better cost management during the first half of the fiscal year.

Selling expenses were up by 7.6% mainly due to sales promotional activities during the period which were able to sustain sales achievement. General and administrative expenses have increased by 3.4% as salaries and wages have increased by 6% due to additional headcount. In addition, there are more business trips to affiliated companies abroad, and repairs and maintenance during the quarter which contributes to the higher general and administrative expenses.

The Group profits improved compared with that of last year, which impact comes from increased sales and items recognized as part of “other income” which mainly include interest income from time deposits, claims, scrap sales, and net foreign exchange gain.

For the Six-month Period Ended September 30, 2024 vs 2023:

	For the Period Ended September 30		Horizontal Analysis		Vertical Analysis	
	2024	2023	Amount	%	2025	2024
<i>(In Thousand Pesos)</i>						
Net Sales	8,299,243	6,957,490	1,341,753	19.3%	100.0%	100.0%
Cost of Goods Sold	(7,055,017)	(5,906,157)	(1,148,860)	19.5%	-85.0%	-84.9%
Gross Profit	1,244,226	1,051,333	192,893	18.3%	15.0%	15.1%
Selling Expenses	(415,206)	(314,096)	(101,110)	32.2%	-5.0%	-4.5%
General & Administrative Expenses	(678,936)	(630,978)	(47,958)	7.6%	-8.2%	-9.1%
Other Income, net	47,520	39,151	8,369	21.4%	0.6%	0.6%
Income Before Income Tax	197,604	145,410	52,194	35.9%	2.4%	2.1%
Income Tax	(44,429)	(47,417)	2,988	-6.3%	-0.5%	-0.7%
Net Income	153,175	97,993	55,182	56.3%	1.8%	1.4%
Other Comprehensive Income	-	-	-	0%	0.0%	0.0%
Total Comprehensive Income	153,175	97,993	55,182	56.3%	1.8%	1.4%
Net Income Attributable to Equity Holders of the Parent Company	152,732	97,950	54,782	55.9%	1.8%	1.4%
Net Income Attributable to Non-controlling Interest	443	43	400	930.2%	0.0%	0.0%
	153,175	97,993	55,182	56.3%	1.8%	1.4%

Consolidated sales for the first six months of FY 2024 amounted to ₱8.299 billion, 19.3% higher than the same period last year by ₱1.342 billion mainly due to favorable summer leading to good sales of cooling products like Refrigerators and Room Air conditioner as compared to last year. Also, business spiked for food/fish storage require the use of our Freezers. Most of the dealers replenished their inventories not to miss out on sales opportunity.

The Group's cost of goods sold increased by ₱1.149 billion due to increase in sales volume and the effect of rising raw material prices due to increase in Forex vs peso. The improvement of gross profit of 18.3%, amounting to ₱192.9 million, was mainly attributable to higher sales performance for the period.

The increase in selling expenses of ₱101.1 million (32.2%) due mainly to advertising and promotional expenses incurred to market the products to consumers and increase sales. The increase in general administrative expense of ₱48.0 million (7.6%) is mainly due to increase in technical assistance fee and brand license fee expense by ₱32.9 million which was calculated based on sales amount. In addition, labor costs paid to fixed term employees increased by ₱20.5 million to support the production and sales requirements.

Other income – net increase of ₱8.4 million (21.4%) came from the interest income received on the Company's time deposit and the amount of investment was higher versus last year.

Income tax expense decreased by ₱3.0 million due mainly to the achievement of sales ratio of PEZA registered project subject to special income tax rate. The Group's net income before and after tax improved by ₱52.2 million and ₱55.2 million, respectively were the result of 19.3% increase in sales versus the same period in 2023.

II. Financial Condition and Material Changes in Statements of Financial Position

As of September 30 (Unaudited) and March 31, 2025 (Audited):

			Horizontal Analysis		Vertical Analysis	
	September 30, 2025	March 31, 2025	Amount	%	2025	2025
<i>(In Thousand Pesos)</i>						
Cash and cash equivalents	4,786,347	3,537,667	1,248,680	35.3%	48.6%	37.0%
Receivables	1,629,994	2,264,194	(634,200)	-28.0%	16.6%	23.7%
Inventories	2,014,175	2,423,958	(409,783)	-16.9%	20.5%	25.3%
Other current assets	164,780	184,742	(19,962)	-10.8%	1.7%	1.9%
Total Current Assets	8,595,296	8,410,561	184,735	2.2%	88.2%	87.9%
Property, plant and equipment	927,805	935,639	(7,834)	-0.8%	9.5%	9.8%
Deferred tax assets - net	164,334	164,334	-	0.0%	1.7%	1.7%
Other noncurrent assets	53,468	60,943	(7,475)	-12.3%	0.5%	0.6%
Total Noncurrent Assets	1,145,606	1,160,916	(15,309)	-1.3%	11.8%	12.1%
Total Assets	9,740,903	9,571,477	169,426	2.9%	100.0%	100.0%
Accounts payable and accrued expense	3,556,323	3,752,659	(196,336)	-5.2%	36.5%	39.2%
Lease liabilities - current portion	6,587	6,027	560	9.3%	0.1%	0.1%
Other current liabilities	97,587	97,587	-	0.0%	1.0%	1.0%
Total Current Liabilities	3,660,497	3,856,273	(195,776)	-5.1%	37.6%	40.3%
Retirement Liability	119,536	119,536	-	0.0%	1.2%	1.2%
Lease liabilities - net of current portion	6,174	4,607	1,567	34.0%	0.1%	0.0%
Other noncurrent liabilities	394,778	264,268	130,510	49.4%	4.1%	2.8%
Total Noncurrent Liabilities	520,489	388,411	132,078	34.0%	5.3%	4.1%
Total Liabilities	4,180,986	4,244,684	(63,698)	-1.5%	42.9%	44.3%
Capital stock	422,718	422,718	-	0.0%	4.3%	4.4%
Additional paid-in capital	4,780	4,780	-	0.0%	0.0%	0.0%
Other comprehensive loss	(124,825)	(124,825)	-	0.0%	-1.3%	-1.3%
Retained Earnings						
Appropriated	4,392,400	4,392,400	-	0.0%	45.1%	45.9%
Unappropriated	790,140	557,423	232,717	41.7%	8.1%	5.8%
Non-controlling interest	74,704	74,297	407	0.5%	0.8%	0.8%
Total Equity	5,559,917	5,326,793	233,124	4.4%	57.5%	55.7%
Total Liabilities and Equity	9,740,903	9,571,477	169,426	1.8%	100.0%	100.0%

The fiscal year then ended proved to be an extraordinary year as the Group navigated unique challenges while striving for full recovery from the unfortunate incident the year before and meeting market demand. Unlike previous years, the Group faced circumstances that tested its adaptability and resilience. This first half of the current fiscal year, through strategic efforts and commitment to excellence, the Group has maintained its momentum in strengthening its position and supporting growth.

The Group's total assets as of September 30, 2025, amounted to ₱9,740.9 million, 3% higher than the ₱9,571.5 million balance as of March 31, 2025. This increase was primarily driven by the increase in cash and cash equivalents; net of collected receivables and inventories used during the quarter.

Total liabilities have basically been maintained due to the set-up of provision for estimated liabilities for overhead and compensation. The total equity did not feel much the impact of profitability as

there was a dividend declaration during the quarter of 73.93% of ₱0.7393 per share cash dividends to stockholders of record as of June 9, 2025, amounting to ₱312.52 million that was paid last June 25, 2025.

The Group's focus now is to overcome challenges while staying committed to operational excellence, driving sales growth and enhancing profitability. By continuously improving its operations ahead, the Group aims to create greater value for its customers and strengthen its position for the years to come.

As of September 30 (Unaudited) and March 31, 2024 (Audited):

			Horizontal Analysis		Vertical Analysis	
	September 30, 2024	March 31, 2024	Amount	%	2024	2024
<i>(In Thousand Pesos)</i>						
Cash and cash equivalents	3,881,511	3,077,652	803,859	26.1%	42.6%	35.6%
Receivables	1,793,522	1,999,202	(205,680)	-10.3%	19.7%	23.1%
Inventories	2,033,257	2,271,491	(238,234)	-10.5%	22.3%	26.2%
Other current assets	358,244	266,283	91,961	34.5%	3.9%	3.1%
Total Current Assets	8,066,534	7,614,628	451,906	5.9%	88.5%	88.0%
Property, plant and equipment	831,742	823,211	8,531	1.0%	9.1%	9.5%
Deferred tax assets - net	153,724	153,724	-	0.0%	1.7%	1.8%
Other noncurrent assets	62,283	63,399	(1,116)	-1.8%	0.7%	0.7%
Total Noncurrent Assets	1,047,749	1,040,334	7,415	0.7%	11.5%	12.0%
Total Assets	9,114,283	8,654,962	459,321	5.3%	100.0%	100.0%
Accounts payable and accrued expense	3,428,395	3,249,455	178,940	5.5%	37.6%	37.5%
Lease liabilities - current portion	2,687	5,374	(2,687)	-50.0%	0.0%	0.1%
Other current liabilities	38,386	75,888	(37,502)	-49.4%	0.4%	0.9%
Total Current Liabilities	3,469,468	3,330,717	138,751	4.2%	38.1%	38.5%
Retirement Liability	117,890	117,890	-	0.0%	1.3%	1.4%
Lease liabilities - net of current portion	10,634	10,634	-	0.0%	0.1%	0.1%
Other noncurrent liabilities	554,336	247,534	306,802	123.9%	6.1%	2.9%
Total Noncurrent Liabilities	682,860	376,058	306,802	81.6%	7.5%	4.3%
Total Liabilities	4,152,328	3,706,775	445,553	12.0%	45.6%	42.8%
Capital stock	422,718	422,718	-	0.0%	4.6%	4.9%
Additional paid-in capital	4,780	4,780	-	0.0%	0.1%	0.1%
Other comprehensive loss	(121,291)	(121,291)	-	0.0%	-1.3%	-1.4%
Retained Earnings						
Appropriated	3,992,400	3,992,400	-	0.0%	43.8%	46.1%
Unappropriated	589,359	576,034	13,325	2.3%	6.5%	6.7%
Non-controlling interest	73,989	73,546	443	0.6%	0.8%	0.8%
Total Equity	4,961,955	4,948,187	13,768	0.3%	54.4%	57.2%
Total Liabilities and Equity	9,114,283	8,654,962	459,321	5.3%	100.0%	100.0%

The Group's total assets as of September 30, 2024, amounted to ₱9.114 billion, increased by ₱459.3 million from ₱8.655 billion as of March 31, 2024. The increase was mainly due to the increase in cash and cash equivalents, receivables and other current assets, property, plant and equipment and other non-current assets, offset by decrease in receivables and inventories. As of September 30, 2024, total liabilities increased by ₱445.6 million (12.0%) amounted to ₱4.152 billion while total stockholders' equity improved by ₱13.8 million.

Cash and cash equivalents increased by ₱803.9 million (26.1%) mainly due to the decrease in

receivables by ₱205.7 million and inventories by ₱238.2 million and increase in total liabilities of ₱445.5 million.

The decrease in accounts receivable of ₱205.7 million (10.3%) mainly due to September 2024 lower Export sales of Window Air conditioner to Hongkong and Taiwan as compared to March 2024 which also consider as peak season.

The decrease in inventories of ₱238.2 million (10.5%) is mainly due to our Materials inventory particularly Window Air conditioner due to seasonality of production and sales where we need to have enough inventories during this March peak season.

Other current assets increased by ₱92 million (34.5%) mainly due to the increase in creditable withholding taxes of ₱70 million.

Property, plant and equipment – net increase of ₱8.5 million was mainly due to the cost of ongoing IT projects on new accounting systems and offset by depreciation expenses incurred for the period and other reclassification. Total purchases for the period amounted to ₱120.9 million while total amortization of depreciation expense amounted to ₱98.9 million.

The net increase in total liabilities of ₱445.5 million (12%) was mainly due to increase in trade accounts payable amounting to ₱178.9 million,

Total equity as of September 30, 2024, increased by ₱13.8 million, net of cash dividend payments of ₱139.4 million to all its stockholders last June 2024 (32.97% of total capital).

Total net income before and after tax for the period recorded at ₱197.6 million and ₱153.2 million, respectively versus ₱145.4 million and ₱98.0 million of the same period last year. Income tax for the six-period ended September recorded at ₱44.4 million lower by ₱3.0 million as at September 2023.

Retained Earnings

Retained Earnings in excess of 100% of paid-in capital will be declared as dividends and/or appropriated for plant expansion and modernization and upgrading of factory facilities and equipment in the future.

The appropriated retained earnings pertain to the appropriation for plant expansion and modernization and upgrade of factory facilities and equipment of the Parent Company.

Cash Flows

A summary of cash flow movement is shown below as of September 30:

<i>(In thousand pesos)</i>	2025	2024
Net cash flows provided by operating activities	1,665,460	1,076,683
Net cash flows used in investing activities	(106,393)	(130,730)
Net cash flows used in financing activities	(310,387)	(142,093)
Net increase in cash and cash equivalents	1,248,680	803,860

Net cash flows used in investing activities include the following:

<i>(In thousand pesos)</i>	2025	2024
Additions to property and equipment - net	(105,017)	(124,050)
Additions to other assets	(1,376)	(6,680)
	(106,393)	(130,730)

Aging of Receivables

	<i>(In Thousand Pesos)</i>
Trade receivables	
Current	1,482,478
1 to 30 days	19,891
31 to 60 days	2,016
61 to 90 days	3,736
Over 90 days	2,639
	1,510,760
Allowance for credit losses	2,835
	1,507,925
Non-trade receivables	
Related parties	17,193
Third parties	4,911
Employees	3,832
Others	96,133
	122,069
	1,629,994

III. Key Performance Indicators

The top five key performance indicators (KPIs) of the Group include tests of profitability, liquidity and solvency. Profitability refers to the Group's earning capacity and ability to earn income for its stockholders. This is measured by profitability ratios analyzing margins and returns. Liquidity refers to the Group's ability to pay its short-term liabilities as and when they fall due. Solvency refers to the Group's ability to pay all its debts as and when they fall due, whether such liabilities are current or non-current.

The following are the top key performance indicators that the Group uses:

RATIO	2025		2024	
	September 30	March 31	September 30	March 31
	(6 months)	(12 months)	(6 months)	(12 months)
Current Ratio	2.35	2.18	2.21	2.29
Acid Test Ratio	1.80	1.55	1.55	1.52
Solvency Ratio	0.13	0.12	0.02	0.07
Debt to Equity Ratio	0.75	0.80	0.83	0.75
Debt Ratio	0.43	0.44	0.45	0.43
Asset to Equity Ratio	1.75	1.80	1.84	1.75
Return on Assets	0.06	0.05	0.01	0.03
Return on Equity	0.10	0.10	0.02	0.06
Gross Profit Margin	0.18	0.19	0.15	0.19
Net Profit Margin	0.07	0.03	0.02	0.02

The manner in which the Group calculates its key performance indicators are as follows:

Current Ratio	=	$\frac{\text{Total current assets}}{\text{Total current liabilities}}$	Asset to Equity Ratio	=	$\frac{\text{Total assets}}{\text{Total equity}}$
Acid Test Ratio	=	$\frac{\text{Total current assets - inventories}}{\text{Total current liabilities}}$	Return on Assets	=	$\frac{\text{Net profit after Tax}}{\text{Ave. total assets}}$
Solvency Ratio	=	$\frac{\text{Net profit after Tax}}{\text{Total liabilities}}$	Return on Equity	=	$\frac{\text{Net profit after Tax}}{\text{Ave. total equity}}$
Debt to Equity	=	$\frac{\text{Total liabilities}}{\text{Total equity}}$	Gross Profit Margin	=	$\frac{\text{Gross profit}}{\text{Total revenue}}$
Debt Ratio	=	$\frac{\text{Total liabilities}}{\text{Total assets}}$	Net Profit Margin	=	$\frac{\text{Net profit after Tax}}{\text{Total revenue}}$

ITEM 3: OTHER MATTERS

- There were no material changes in estimates of amounts reported in prior interim periods of the current year or changes in estimates of amounts reported in prior financial years.
- The causes for any material change from period to period of the relevant accounts were discussed in the Management's Discussion and Analysis of Results of Operation and Financial Conditions.
- There were no known events, trends, demands, commitments or uncertainties that might affect or might have a material impact on the Group's liquidity or cash flow within the next twelve (12) months, except those stated in the Management's Discussion and Analysis of Results of Operation and Financial Conditions.
- There were no known events that would trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation and there were no changes in contingent liabilities and contingent assets since the last annual balance sheet date.
- There were no material off-balance sheet transactions, arrangements, obligations and other relationships of the Parent Company with unconsolidated entities or other persons created during the reporting period.
- The Group has commitments for capital expenditure. Among these are investments in relocation and renovation of its head office and branch premises, acquisition and repairs of machinery and equipment, furniture and fixtures, and IT-related projects needed to bring the Group at par with competitors.
- There were no known trends, events or uncertainties that have had or that are reasonably expected to have a favorable or unfavorable impact on net sales or revenues or income from continuing operation.
- There were no significant elements of income or loss that did not arise from the Group's continuing operations.
- There were no seasonal aspects that have had a material effect on the Group's financial condition or results of operations.

PART II – OTHER INFORMATION

NOT APPLICABLE

SIGNATURE

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the following persons in their capacities stated below in Taytay, Rizal on November 10, 2025.

PANASONIC MANUFACTURING PHILIPPINES CORPORATION

By:


ATSUSHI KOZUMA
Treasurer & Executive Director

ANNEX A

**Panasonic Manufacturing
Philippines Corporation and
Subsidiary**

Unaudited
Interim Condensed Consolidated Financial
Statements as of September 30, 2025
and Audited Consolidated Financial
Statements as of March 31, 2025,
and Six-month Periods Ended September 30, 2025
and 2024

PANASONIC MANUFACTURING PHILIPPINES CORPORATION AND SUBSIDIARY
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(In Thousand Pesos)

	<i>(Unaudited)</i>	<i>(Audited)</i>
	September 30, 2025	March 31, 2025
ASSETS		
Current Assets		
Cash and cash equivalents (Note 4)	₱4,786,347	₱3,537,667
Receivables (Note 5)	1,629,994	2,264,194
Inventories (Note 6)	2,014,175	2,423,958
Other current assets (Note 9)	164,780	184,742
Total Current Assets	8,595,296	8,410,561
Non-current Assets		
Property, plant, and equipment (Note 7)	927,805	935,639
Deferred tax assets - net	164,334	164,334
Other non-current assets (Note 9)	53,468	60,943
Total Non-current Assets	1,145,607	1,160,916
TOTAL ASSETS	₱9,740,903	₱9,571,477
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and accrued expenses (Note 10)	₱3,556,323	₱3,752,659
Lease liabilities - current portion (Note 8)	6,587	6,027
Other current liabilities (Note 11)	97,587	97,587
Total Current Liabilities	3,660,497	3,856,273
Non-current Liabilities		
Lease liabilities - net of current portion (Note 8)	6,174	4,607
Retirement liability	119,536	119,536
Other non-current liabilities (Note 11)	394,779	264,268
Total Non-current Liabilities	520,489	388,411
Total Liabilities	4,180,986	4,244,684
Equity Attributable to Equity Holders of the Parent Company		
Capital stock (Note 12)	422,718	422,718
Additional paid-in capital (Note 12)	4,780	4,780
Other comprehensive loss	(124,825)	(124,825)
Retained earnings (Note 13)		
Appropriated	4,392,400	4,392,400
Unappropriated	790,140	557,423
Total Equity Attributable to Equity Holders of the Parent Company	5,485,213	5,252,495
Non-controlling Interest	74,704	74,298
Total Equity	5,559,917	5,326,793
TOTAL LIABILITIES AND EQUITY	₱9,740,903	₱9,571,477

See accompanying Notes to Consolidated Financial Statements.

PANASONIC MANUFACTURING PHILIPPINES CORPORATION AND SUBSIDIARY
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE
INCOME

(In Thousand Pesos)

	<i>(Unaudited)</i> For the Six-month Period Ended September 30		<i>(Unaudited)</i> For the Three-month Period Ended September 30	
	2025	2024	2025	2024
NET SALES	₱8,355,396	₱8,299,243	₱3,811,508	₱3,848,995
COST OF GOODS SOLD (Note 14)	(6,871,155)	(7,055,017)	(3,006,620)	(3,283,695)
GROSS PROFIT	1,484,241	1,244,226	804,888	565,300
SELLING EXPENSES (Note 15)	(446,709)	(415,206)	(281,244)	(196,001)
GENERAL AND ADMINISTRATIVE EXPENSES (Note 16)	(701,872)	(678,936)	(342,208)	(333,643)
OTHER INCOME - net (Note 19)	360,481	47,520	57,482	37,484
INCOME BEFORE INCOME TAX	696,141	197,604	238,918	73,140
PROVISION FOR INCOME TAX	(150,503)	(44,429)	(88,179)	(18,663)
NET INCOME	545,638	153,175	150,739	54,477
OTHER COMPREHENSIVE INCOME	-	-	-	-
TOTAL COMPREHENSIVE INCOME	₱545,638	₱153,175	₱150,739	₱54,477
Net income attributable to:				
Equity holders of the Parent Company (Note 25)	₱545,232	₱152,732	₱150,576	₱54,280
Non-controlling interest	406	443	163	197
	₱545,638	₱153,175	₱150,739	₱54,477
Basic/diluted earnings per share (Note 25)	₱1.29	₱0.36	₱0.36	₱0.13

See accompanying Notes to Consolidated Financial Statements.

PANASONIC MANUFACTURING PHILIPPINES CORPORATION AND SUBSIDIARY

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(In Thousand Pesos)

	Equity Attributable to Equity Holders of the Parent Company						Non-controlling Interest	Total
	Capital Stock (Note 14)	Additional Paid-in Capital (Note 14)	Remeasurement Loss on Retirement Liability (Note 13)	Appropriated Retained Earnings (Note 15)	Unappropriated Retained Earnings (Note 15)	Total		
Balances at April 1, 2025	₱422,718	₱4,780	(₱124,825)	₱4,392,400	₱557,423	₱5,252,496	₱74,298	₱5,326,793
Total comprehensive income	—	—	—	—	545,232	545,232	406	545,638
Cash dividends	—	—	—	—	(312,515)	(312,515)	—	(312,515)
Balances at September 30, 2025 (Unaudited)	₱422,718	₱4,780	(₱124,825)	₱4,392,400	₱790,140	₱5,485,213	₱74,704	₱5,559,917
Balances at April 1, 2024	₱422,718	₱4,780	(₱121,291)	₱3,992,400	₱576,034	₱4,874,641	₱73,545	₱4,948,186
Total comprehensive income	—	—	—	—	152,732	152,732	443	153,175
Cash dividends	—	—	—	—	(139,406)	(139,406)	—	(139,406)
Balances at September 30, 2024 (Unaudited)	₱422,718	₱4,780	(₱121,291)	₱3,992,400	₱589,360	₱4,887,967	₱73,988	₱4,961,955

See accompanying Notes to Consolidated Financial Statements.

PANASONIC MANUFACTURING PHILIPPINES CORPORATION AND SUBSIDIARY
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(In Thousand Pesos)

	<i>(Unaudited)</i>	
	For the Six-month Period Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱696,141	₱197,604
Adjustments for:		
Depreciation and amortization (Notes 7, 9 and 18)	121,702	107,445
Interest income (Note 19)	(54,328)	(46,888)
Net movement for estimated liabilities	33,454	241,547
Operating income before working capital changes	796,969	499,708
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	634,199	205,680
Inventories	409,783	238,235
Other current assets	19,962	(91,961)
Increase in:		
Accounts payable and accrued expenses	(99,278)	222,562
Net cash generated in operations	1,761,635	1,074,224
Income taxes paid	(150,503)	(44,429)
Interests received	54,328	46,888
Net cash provided by operating activities	1,665,460	1,076,683
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisitions of property and equipment –net (Notes 7 and 9)	(105,017)	(124,050)
Decrease (increase) in other assets	(1,376)	(6,680)
Net cash used in investing activities	(106,393)	(130,730)
CASH FLOW FROM FINANCING ACTIVITIES		
Cash dividends paid (Note 13)	(312,515)	(139,406)
Finance lease liabilities, net (Note 8)	2,128	(2,687)
Cash used in financing activities	(310,387)	(142,093)
NET INCREASE IN CASH AND CASH EQUIVALENTS	1,248,680	803,859
CASH AND CASH EQUIVALENTS		
AT BEGINNING OF PERIOD	3,537,667	3,077,652
CASH AND CASH EQUIVALENTS		
AT END OF PERIOD	₱4,786,347	₱3,881,511

See accompanying Notes to Consolidated Financial Statements.

PANASONIC MANUFACTURING PHILIPPINES CORPORATION AND SUBSIDIARY
NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Panasonic Manufacturing Philippines Corporation (the Parent Company) was incorporated in the Philippines on May 14, 1963 and is a subsidiary of Panasonic Holdings Corporation (the Ultimate Parent Company) which was incorporated in Japan on December 15, 1935. The Securities and Exchange Commission (SEC) approved on March 19, 2013 the extension of Parent Company's corporate life for another 50 years or until May 15, 2063. The Parent Company holds 40.0% interest in Precision Electronics Realty Corporation (PERC or the Subsidiary), over which the Parent Company has the control over the Subsidiary.

On February 20, 2019, Republic Act (RA) No. 11232, otherwise known as the "Revised Corporation Code of the Philippines" or "RCC", was signed into law. The RCC took effect on February 23, 2019. The corporate term of a corporation with certificate of incorporation issued prior to the effectivity of the RCC and which continue to exist, shall be deemed perpetual upon the effectivity of the RCC, without any action on the part of the corporation. As of February 23, 2019, the Group is deemed to have selected a perpetual term.

The Parent Company is a manufacturer, importer and distributor of electronic, electrical, mechanical, electro-mechanical appliances, other types of machinery, parts and components, battery and other related products bearing the "Panasonic" brand. The Subsidiary is in the business of realty brokerage and leases out the land to the Parent Company in which the latter's manufacturing facilities are located.

The Parent Company's registered address is Ortigas Avenue Extension, Barrio Mapandan, Barangay San Isidro, Taytay, Rizal.

2. Basis of Preparation and Statement of Compliance

Basis of Preparation

The accompanying unaudited interim condensed consolidated financial statements of the Parent Company and the Subsidiary (collectively referred to as the "Group") have been prepared on a historical cost basis and are presented in Philippine peso (₱), which is also the Group's functional currency. All values were rounded to the nearest thousand peso except when otherwise indicated.

Statement of Compliance

The accompanying unaudited interim condensed consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

3. Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective April 1, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Standards Issued But Not Yet Effective

Pronouncements issued but not yet effective are listed below. The Group intends to adopt the following pronouncements when they become effective. Adoption of these pronouncements is not expected to have a significant impact on the Group's financial statements unless otherwise indicated.

Effective beginning on or after April 1, 2025

- Amendments to PAS 21, *Lack of exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after April 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Effective beginning on or after April 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

- Annual Improvements to PFRS Accounting Standards - Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.
- Amendments to PFRS 7, *Gain or Loss on Derecognition*
The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.
- Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Lessee Derecognition of Lease Liabilities
The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.
 - Transaction Price
The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to ‘transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*’ with ‘the amount determined by applying PFRS 15’. The term ‘transaction price’ in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.
- Amendments to PFRS 10, *Determination of a ‘De Facto Agent’*
The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.
- Amendments to PAS 7, *Cost Method*
The amendments to paragraph 37 of PAS 7 replaced the term ‘cost method’ with ‘at cost’, following the prior deletion of the definition of ‘cost method’.

Effective beginning on or after April 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*
The standard replaces PAS 1 Presentation of Financial Statements and responds to investors’ demand for better information about companies’ financial performance. The new requirements include:
 - Required totals, subtotals and new categories in the statement of profit or loss
 - Disclosure of management-defined performance measures
 - Guidance on aggregation and disaggregation
- PFRS 19, *Subsidiaries without Public Accountability*
The standard allows eligible entities to elect to apply PFRS 19’s reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.
- PFRS 17, *Insurance Contracts*
PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

On December 15, 2021, the FSRSC amended the mandatory effective date of PFRS 17 from April 1, 2023 to April 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

On February 14, 2025, the FSRSC approved the amendment to PFRS 17 Insurance Contracts that further defers the date of initial application by an additional two (2) years, to annual periods beginning on or after April 1, 2027. This will provide more time for the insurance industry to fully prepare and assess the impact of adopting the said standard.

On the same date, the FSRSC also adopted the amendments to PFRS 9 and PFRS 7, Contracts Referencing Nature-dependent Electricity that clarify the application of ‘own-use’ requirements for in-scope contracts that reference nature-dependent electricity and expose an entity to variability in an underlying amount of electricity. With respect to hedge accounting requirements, the amendments now allow an entity to designate a contract referencing nature-dependent electricity as the hedging instrument in a hedge of forecast electricity transactions.

PFRS 17 is effective for reporting periods beginning on or after April 1, 2027, with comparative figures required. Early application is permitted.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors’ interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of April 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

4. Cash and Cash Equivalents

This account consists of:

	September 30, 2025	March 31, 2025
Cash on hand	₱3,400	₱47,964
Cash in banks	776,780	1,120,935
Cash equivalents	4,006,167	2,368,768
	₱4,786,347	₱3,537,667

Cash in banks earned annual interest ranging from 0.01% to 2.25% in 2025.

Cash equivalents pertain to time deposits made for varying periods with maturity of up to three months depending on the immediate cash requirements of the Group. Interest on cash equivalents ranged from 2.01% to 6.00% in 2025.

Interest income from cash in banks and cash equivalents amounted to ₱54.3 million (Note 19) and ₱111.4 million for the six-month period ended September 30 and fiscal year ended March 31, 2025, respectively.

5. Receivables

This account consists of:

	September 30, 2025	March 31, 2025
Trade		
Domestic	₱1,381,597	₱1,573,538
Export (Note 20)	129,163	420,138
Non-trade		
Insurance	-	167,434
Related parties (Note 20)	17,193	32,548
Third parties	4,911	6,731
Employees	3,832	2,761
Others	96,133	63,214
	1,632,829	2,266,364
Less: Allowance for expected credit losses (ECL)	2,835	2,170
	₱1,629,994	₱2,264,194

Trade receivables are non-interest-bearing and are generally on 30 to 60-day terms. Trade receivables classified as “domestic” are those claims against local customers. Trade receivables classified as “export” are those claims arising from export sales of air conditioner units to related parties.

Others include receivable from factory support, scrap sales and container deposits.

The changes in the allowance for ECL on trade receivables in 2025 and 2024 follow:

	September 30, 2025	March 31, 2025
Balances at beginning of year	₱2,171	₱2,052
Provision for ECL	664	118
Balances at end of year	₱2,835	₱2,170

6. Inventories

This account consists of:

	September 30, 2025	March 31, 2025
Finished goods and merchandise	₱1,260,387	₱1,241,488
Raw materials	721,125	1,135,072
Supplies	13,008	11,133
Goods in process	19,655	36,265
	₱2,014,175	₱2,423,958

The total cost of inventories charged to “Cost of goods sold” under the statements of comprehensive income amounted to ₱6.87 billion and ₱13.73 billion for the six-month period ended September 30 and fiscal year ended March 31, 2025, respectively.

7. Property, Plant and Equipment

The rollforward of this account follows:

September 30, 2025								
	Land and Land Improvements	Factory Machinery, Equipment and Tools	Buildings and Improvements	Office Furniture, Fixtures and Equipment	Transportation Equipment	Construction in Progress	Right-of-use Asset-Building	Total
Cost								
Balances at beginning of year	₱ 236,029	₱ 2,268,532	₱ 1,037,317	₱ 187,660	₱ 165,719	₱ 69,962	₱ 19,007	₱ 3,984,226
Additions	—	32,412	7,479	9,109	9,048	46,969	—	105,017
Retirements/disposals	—	(12,014)	(83)	(11,743)	(2,429)	—	—	(26,269)
Reclassifications	—	42,800	41,277	318	—	(84,395)	—	—
Balances at end of year	236,029	2,331,730	1,085,990	185,344	172,338	32,535	19,007	4,062,973
Accumulated depreciation								
Balances at beginning of year	2,851	1,924,523	811,539	166,411	135,203	—	8,059	3,048,587
Depreciation (Note 18)	—	76,896	19,116	7,595	6,294	—	2,950	112,851
Retirements/disposals	—	(12,014)	(83)	(11,743)	(2,429)	—	—	(26,269)
Balances at end of year	2,851	1,989,405	830,572	162,263	139,068	—	11,009	3,135,168
Net book value	₱ 233,178	₱ 342,325	₱ 255,418	₱ 23,081	₱ 33,270	₱ 32,535	₱ 7,998	₱ 927,805

March 31, 2025								
	Land and Land Improvements	Factory Machinery, Equipment and Tools	Buildings and Improvements	Office Furniture, Fixtures and Equipment	Transportation Equipment	Construction in Progress	Right-of-use Asset-Building	Total
Cost								
Balances at beginning of year	₱ 236,029	₱ 2,171,604	₱ 987,220	₱ 193,758	₱ 156,476	₱ 61,107	₱ 18,772	₱ 3,824,967
Additions	—	59,341	35,763	19,617	13,342	205,503	234	333,801
Retirements/disposals	—	(121,805)	(17,943)	(26,950)	(7,844)	—	—	(174,542)
Reclassifications	—	159,392	32,276	1,235	3,744	(196,647)	—	—
Balances at end of year	236,029	2,268,532	1,037,316	187,660	165,718	69,963	19,006	3,984,226
Accumulated depreciation								
Balances at beginning of year	2,851	1,899,062	795,684	172,992	129,006	—	2,160	3,001,756
Depreciation (Note 18)	—	147,266	33,798	20,369	14,040	—	5,899	221,372
Retirements/disposals	—	(121,805)	(17,943)	(26,950)	(7,843)	—	—	(174,541)
Balances at end of year	2,851	1,924,523	811,539	166,411	135,203	—	8,059	3,048,587
Net book value	₱ 233,178	₱ 344,009	₱ 225,777	₱ 21,249	₱ 30,515	₱ 69,963	₱ 10,947	₱ 935,639

As of September 30 and March 31, 2025, the construction in progress mainly pertains to the improvements of factory machinery, equipment and tools and building improvements in Panasonic Philippines (PPH) and Refrigerator Division.

The amount of fully depreciated assets still in use amounted to ₱2.2 billion as of September 30 and March 31, 2025. Additions during the fiscal year then ended include acquisitions of property, plant and equipment on account amounting to ₱13.7 million recorded under ‘Non-trade payable - third parties’.

There are no property, plant and equipment items that are pledged as security to liabilities as of September 30 and March 31, 2025.

8. Leases

Group as a Lessee

The Group entered into cancellable operating leases of office spaces and warehouses (presented as ‘Right-of-Use Assets - Building’ under ‘Property, Plant and Equipment’) for two (2) to three (3) years, renewable under certain terms and conditions.

Some leases include a clause to enable upward revision of the rental charge on an annual basis based on prevailing market conditions.

The Group also has certain leases of office space with remaining lease terms of 12 months or less and leases with low value assets. The Group applies the recognition exemptions for these types of leases.

The rollforward of lease liability follows:

	September 30, 2025	March 31, 2025
Balance at beginning of year	₱10,634	₱16,008
Additions	4,815	—
Interest	480	961
Payments	(3,168)	(6,335)
Total lease liability	12,761	10,634
Less current portion of lease liability	6,587	6,027
Lease liability - net of current portion	₱6,174	₱4,607

9. Other Current Assets and Other Non-current Assets

Other current assets consist of the following:

	September 30, 2025	March 31, 2025
Creditable withholding taxes (CWTs)	₱69,546	₱130,049
Prepaid expenses	93,807	53,905
Advances to employees	1,427	788
	₱164,780	₱184,742

Other non-current assets consist of the following:

	September 30, 2025	March 31, 2025
Refundable deposits	₱23,141	₱21,765
Computer software	30,327	39,178
	₱53,468	₱60,943

CWTs

This represents taxes withheld at source by the counterparty which can be applied against future income tax liability.

Prepaid Expenses

This pertains to prepayments related to insurance, association dues, rentals, municipal taxes and input taxes.

Advances to Employees

Advances to employees pertain to cash advances made to employees for cost and expenses to be incurred on behalf of the Group, subject to liquidation.

Refundable deposits

Refundable deposits pertain to security deposits related to its lease and deposits to Meralco.

Computer Software

The composition and movements of software follow:

	September 30, 2025	March 31, 2025
Cost		
Balances at beginning of period	₱160,644	₱148,264
Additions	—	12,380
Write-off	(25)	-
Balances at end of period	160,619	160,644
Accumulated amortization		
Balances at beginning of period	121,466	102,931
Amortization (Notes 15 and 18)	8,851	18,535
Write-off	(25)	-
Balances at end of period	130,292	121,466
Net book value	₱30,327	₱39,178

As of September 30, and March 31, 2025, there were no impairment recognized on computer software.

10. Accounts Payable and Accrued Expenses

This account consists of:

	September 30, 2025	March 31, 2025
Trade		
Third parties	₱476,349	₱666,749
Related parties (Note 20)	483,502	564,401
Non-trade		
Related parties (Note 20)	47,260	167,406
Third parties	12,689	13,651
Accrued expenses		
Third parties	2,307,156	2,290,881
Related parties (Note 20)	158,677	14,528
Others	70,690	35,043
	₱3,556,323	₱3,752,659

Trade accounts payable are non-interest-bearing and are generally on 30 to 60-day terms.

Accrued expenses to third parties consist of:

	September 30, 2025	March 31, 2025
Advertising expenses and sales promotions	₱1,689,196	₱1,601,227
Suppliers	587,466	651,452
Salaries and other employee benefits	29,270	31,266
Freight expenses and releasing charges	1,224	6,936
	₱2,307,156	₱2,290,881

Others pertain to advances from customers and payable to governments.

11. Other Liabilities

This account consists of:

	September 30, 2025	March 31, 2025
Current		
Provision for estimated liabilities	₱97,587	₱97,587
Non-current		
Provision for estimated liabilities	356,324	245,694
Other long-term employee benefits	38,455	18,574
	394,779	264,268
	₱492,366	₱361,855

Provision for Estimated Liabilities

Current and non-current portion of this account follows:

	September 30, 2025	March 31, 2025
Current		
Warranty claims	₱97,587	₱97,587
Non-current		
Warranty claims	17,766	10,873
Others	338,558	234,821
	356,324	245,694
	₱453,911	₱343,281

The rollforward of this account follows:

	September 30, 2025		
	Warranty Claims	Others	Total
Balances at beginning of period	₱108,460	₱234,821	₱343,281
Provision for warranty claims and others (Note 15)	33,454	—	33,454
Claims/usage	(26,561)	—	(26,561)
Others	—	103,737	103,737
Balances at end of period	₱115,353	₱338,558	₱453,911

	March 31, 2025		
	Warranty Claims	Others	Total
Balances at beginning of year	₱88,829	₱215,362	₱304,191
Provision (reversal of provision) for warranty claims and others	71,265	(21,384)	49,880
Claims/usage	(51,634)	—	(51,634)
Others	—	40,844	40,844
Balances at end of year	₱108,460	₱234,822	₱343,281

Provision for warranty claims are recognized for expected warranty claims on products sold, based on past experience in the level of repairs and returns.

Others primarily consist of provisions for legal cases and other liabilities. The other information usually required by PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, is not disclosed on the grounds that it may negatively affect the operations of the Group and prejudice the outcome of the litigations and assessments.

Other Long-term Employee Benefits

Other long-term employee benefits pertain to accumulated sick leave and vacation leave. Based on the Group's policy, employees are entitled to accumulate 10 days of vacation leave and 45 days of sick leave credits which are convertible to cash upon retirement or resignation.

12. Capital Stock

The Group's capital stock as at September 30 and March 31, 2025 consists of the following:

	Par Value	Shares Authorized	Amount	Shares Issued and Outstanding	Amount
Class A	₱ 1	169,400,000	₱169,400	84,723	₱84,723
Class B	1	677,600,000	677,600	337,995	337,995
		847,000,000	₱847,000	422,718	₱422,718

- The Class A shares of stock can be issued to Philippine nationals only, while the Class B shares of stock can be issued to either Philippine or foreign nationals. As of September 30, and March 31, 2025, all Class B shares are issued to foreign nationals only. The Parent Company's Class A shares of stock are listed in the Philippine Stock Exchange.
- Below is the summary of the Parent Company's track record of registration of securities under the Securities Regulation Code (SRC):

Date	Number of Shares	Issue Price
January 21, 1983	44,100,000	₱ 1
July 14, 1986	74,042,783	1
January 16, 1992	104,988,723	1

The total number of shares registered under the SRC is 84,723,432 shares being held by 458 and 460 stockholders as of September 30 and March 31, 2025, respectively.

Additional paid-in capital (APIC) was recognized arising from the difference of the consideration received from the subscribers of capital stock and the value of capital stock being subscribed. As of September 30, and March 31, 2025, APIC amounted to ₱4.8 million.

The Group and the Parent Company have no externally imposed capital requirements. There were no changes made in the objectives, policies or processes for the six-month period ended September 30 and for the fiscal year ended March 31, 2025.

13. Retained Earnings

- On September 18, 1990, the Parent Company entered into a Merger Agreement with National Panasonic (Phils.) Inc. (NPPI), a related party and the exclusive distributor of the "National" brand of electronic products. The terms and conditions of the merger, as set forth in the Articles of Merger which was approved by the SEC on October 29, 1990, include, among others, the transfer by NPPI

to the Parent Company, being the surviving corporation, of all its assets, liabilities and business on the same date. The transaction was accounted for using the pooling of interests method.

The retained earnings inherited from NPPI before the effectivity of the merger amounting to ₱64.7 million are included in the consolidated statement of financial position under “unappropriated retained earnings”. Such is not available for distribution to stockholders in the form of cash or property dividends. Based on the SEC guidelines and after considering this adjustment, the retained earnings available for dividend declaration as of March 31, 2025 amounted to ₱253.4 million.

In 2025, the consolidated retained earnings include the retained earnings of PERC amounting to ₱44.4 million, which are not available for dividend declaration.

- b. On June 24, 2024, the Parent Company’s BOD authorized and directed the reversal of the appropriated retained earnings amounting to ₱1.2 billion. On the same date, the BOD authorized the appropriation of retained earnings amounting to ₱1.6 billion, having a total appropriated retained earnings amounting to ₱4.4 billion of which, ₱3.9 billion, represents the reinstatement of the previous appropriations for in-plant production of plastic and metal parts, the Group’s change of IT System, expansion of warehouse to cope with business growth and replacement and upgrading of old machines, molds and dies and other expected undertakings to expand production including target increase in B2B sales volume, and other future projects of the Parent Company.
- c. On April 18, 2022, the Parent Company’s BOD authorized and directed the reversal of the appropriated retained earnings amounting to ₱1.2 billion. On the same date, the BOD authorized the appropriation of retained earnings amounting to ₱1.3 billion, having a total appropriated retained earnings amounting to ₱4.0 billion of which, ₱3.6 billion, represents the reinstatement of the previous appropriations for in-plant production of plastic and metal parts, the Group’s change of IT System and other future projects of the Parent Company, while the additional ₱383.2 million appropriations represents appropriations for expansion of warehouses to cope with business growth and the replacement and upgrading of old machines, molds and dies and other expected undertakings to expand production including target increase in B2B sales volume. Several projects of the Parent Company that were expected to be completed in 2022 were delayed. These projects are expected to be completed by 2030.
- d. The Parent Company’s BOD declared cash dividends as follows:

	2025	2024	2023
March 31, 2025, 32.98% cash dividends to stockholders of record as of June 10, 2024 payable on June 25, 2024 (₱0.33 per share)	₱139,406,137	₱–	₱–
March 31, 2024, 25.94% cash dividends to stockholders of record as of June 14, 2023 payable on June 23, 2023 (₱0.26 per share)	–	109,664,990	–
March 31, 2023, 24.89% cash dividends to stockholders of record as of June 4, 2022 payable on June 25, 2022 (₱0.25 per share)	–	–	105,214,515
	₱139,406,137	₱109,664,990	₱105,214,515

On May 22, 2025, the Parent Company’s Board of Directors approved the declaration of 73.93% (₱0.7393 per share) cash dividends to stockholders of record as of June 9, 2025 amounting to ₱312.52 million payable on June 25, 2025.

14. Cost of Goods Sold

This account consists of the following for the six-month period ended September 30:

	2025	2024
Material costs	₱5,457,441	₱5,297,763
Direct labor (Note 17)	177,402	179,841
Manufacturing overhead:		
Indirect labor (Note 17)	118,568	110,602
Depreciation and amortization (Notes 7, 9 and 18)	92,837	79,265
Electricity, gas and water	48,181	41,325
Repairs and maintenance	35,437	33,824
Outsourcing	30,170	25,081
Provision for obsolescence of materials	22,870	14,568
Research and development	19,241	15,199
Insurance	17,585	11,140
Indirect materials	17,400	19,969
Supplies	15,827	14,432
Traveling	12,596	12,946
Rent	2,950	3,145
Taxes and dues	1,922	1,743
Others	7,639	6,611
Total manufacturing overhead	443,223	389,850
	6,078,066	5,867,454
Goods in process:		
Beginning of period	36,265	40,399
End of period	(19,655)	(30,058)
Cost of goods manufactured	6,094,676	5,877,795
Finished goods and merchandise:		
Beginning of period	1,241,488	1,111,071
Add purchases – net	795,378	1,134,990
End of period	(1,260,387)	(1,068,839)
	₱6,871,155	₱7,055,017

15. Selling Expenses

This account consists of the following for the six-month period ended September 30:

	2025	2024
Freight	₱311,676	₱280,561
Advertising	50,951	70,502
Sales promotion, rebates and discounts	50,628	57,777
Provision for warranty costs (Note 11)	33,454	6,366
	₱446,709	₱415,206

16. General and Administrative Expenses

This account consists of the following for the six-month period ended September 30:

	2025	2024
Salaries, wages and employees' benefits (Note 17)	₱238,062	₱225,336
Technical assistance fees	140,790	152,232
Brand license fees	52,512	51,662
Taxes and dues	37,356	37,576
Repairs and maintenance	32,010	27,509
Traveling	31,267	28,566
Depreciation and amortization (Notes 7, 9 and 18)	28,865	28,181
Outsourcing	27,379	25,899
Information processing expenses	19,400	22,489
Insurance	15,178	8,796
Rent	12,331	14,562
Communication	8,930	9,637
Allocated Cost – Regional Headquarter	7,581	7,083
Supplies	5,261	3,894
Electricity, gas and water	4,389	1,546
Freight and storage	1,952	2,639
Provision for other estimated liabilities	1,038	1,434
Others	37,571	29,895
	₱701,872	₱678,936

Others include entertainment, amusement and recreation, research and development, credit investigation costs, hauling charges and others.

17. Salaries, Wages and Employee Benefits

This account consists of the following for the six-month period ended September 30:

	2025	2024
Compensation	₱473,488	₱457,165
Retirement and severance	19,622	19,287
Other employee benefits	40,922	39,327
	₱534,032	₱515,779

Personnel expenses are shown in the consolidated statements of comprehensive income as follows:

	2025	2024
Cost of goods sold (Note 14)	₱295,970	₱290,443
General and administrative expenses (Note 16)	238,062	225,336
	₱534,032	₱515,779

18. Depreciation and Amortization

Details of depreciation and amortization follow for the six-month period ended September 30:

	2025	2024
Property, plant and equipment (Note 7)	₱112,851	₱98,834
Computer software (Note 9)	8,851	8,612
	₱121,702	₱107,446
Cost of goods sold (Note 14)	₱92,837	₱79,265
General and administrative (Note 16)	28,865	28,181
	₱121,702	₱107,446

19. Other Income - net

This account consists of the following for the six-month period ended September 30:

	2025	2024
Interest income (Note 4)	₱54,328	₱46,888
Net foreign exchange gain (loss)	13,501	(12,223)
Scrap sales	6,631	6,738
Miscellaneous, net	286,021	6,117
	₱360,481	₱47,520

Miscellaneous income (expense) includes rental, claims, and provision for expected credit losses.

20. Related Party Transactions

The Parent Company has entered into various transactions with related parties. Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control or common significant influence, such as affiliates. Related parties may be individuals or corporate entities. Transactions with related parties are made substantially on the same terms as with other individuals and businesses and are generally settled in cash.

Material Related Party Transactions Policy

The Parent Company's BOD shall approve all material related party transactions before their commencement. Transactions amounting to the materiality threshold of ten percent (10.0%) or more of the consolidated total assets that were entered into with an unrelated party that subsequently becomes a related party are excluded from the limits and approval process requirements. The Parent Company may set a lower threshold upon determination by the BOD of the risk of the related party transactions to cause damage to the Parent Company and its stockholders.

The statements of financial position include the following amounts resulting from above transaction:

	September 30, 2025	March 31, 2025
Trade receivables	₱129,163	₱420,138
Non-trade receivables	17,193	32,548
Trade payables	483,502	564,401
Non-trade payables	47,260	167,406
Accrued expenses	158,677	14,528

- a. The Parent Company provides promo support, of which is reimbursable, to its Ultimate Parent and affiliates.
- b. Advances pertain to certain expenses paid by the Parent Company on behalf of Ultimate Parent and its affiliates.
- c. The Parent Company has transaction with its Ultimate Parent related to technical assistance fee equivalent to 3.0% of selected products.
- d. The Parent Company has transaction with its Ultimate Parent related to brand license fee equivalent to 0.7% - 1.0% of the sales price of the products bearing the brand “KDK” and “Panasonic” which is payable semi-annually and non-interest bearing.
- e. Other expenses pertain to transaction with its Ultimate Parent related to compensation and welfare expenses of certain employees and communication expenses incurred. Other expenses transactions with affiliates pertain to communication expenses incurred, product development cost of Aircon, management fee, and allocated costs charged to the Parent Company for certain services.
- f. In the ordinary course of business, the Parent Company has transactions with affiliates related to sales of air-conditioner units’ products with 30-day term and non-interest bearing.
- g. The Parent Company has transaction with affiliates related to electric works and devices. This is a commission base income with 5% mark up in the total expense incurred.
- h. Transaction pertains to service income from rendering services by Parent Company in the form of general advice and assistance fees with its affiliates.
- i. Other income pertains to MRO system charged by the Parent Company to a lessee-affiliate with 30-day term and non-interest bearing.
- j. Transaction pertains to purchase raw materials, merchandise and other spare parts with affiliates.

The Parent Company has interest-bearing loans receivable from its subsidiary amounting to ₱154.0 million as of September 30 and March 31, 2025. The 12.0% nominal annual interest is to be paid on a monthly basis while the principal is payable on its maturity date, March 31, 2026. The carrying amount of the receivable in the Parent Company’s books and payable in the Subsidiary’s books amounted to ₱154.0 million as of September 30 and March 31, 2025, which were eliminated in the consolidation.

Key Management Personnel

The Group’s key management personnel include the president and directors. There are no agreements between the Group and any of its key management personnel providing for benefits upon termination of employment, except for such benefits to which they may be entitled under the Parent Company’s retirement plan.

Terms and conditions of transactions with related parties

Outstanding balances at year-end are unsecured and settlement occurs in cash. There have been no guarantees provided or received for any related party payables or receivables. The Parent Company has not recognized any impairment losses on amounts due from related parties for the six-month period ended September 30 and fiscal year ended March 31, 2025. This assessment is undertaken each financial year through a review of the financial position of the related party and the market in which the related party operates.

Transactions with the retirement fund

Under PFRS Accounting Standards, certain post-employment benefit plans are considered as related parties.

The Parent Company's retirement plan is in the form of different investments being managed by the Board of Trustees (BOT) of the retirement plan. The BOT of the retirement plan is mandated to approve the plan, trust agreement, investment plan including any amendments or modifications thereto, and any other activities of the plan. Certain members of the BOD of the Parent Company are represented in the BOT. The BOT manages the plan based on the mandate as defined in the trust agreement. The retirement fund has 58.0% interest in the subsidiary of the Parent Company amounting to ₱7.4 million and 5.1% interest in the Parent Company amounting to ₱21.6 million as of September 30 and March 31, 2025 and carried at fair value.

21. Registration with the PEZA

The Parent Company is registered with the Philippine Economic Zone Authority (PEZA) pursuant to the provision of RA No. 7916 (otherwise known as the "Special Economic Development Zone Act of 1995"), for Ecozone Export Enterprise for the manufacture of air conditioners and related service parts. Under the terms and conditions of its registration, the Parent Company is subject to certain requirements primarily related to the monitoring of its registered activities.

The Parent Company can continue to avail the incentives provided in the implementing Rules and Regulations of RA No. 12066 otherwise known as the Corporate Recovery and Tax Incentives for Enterprises to Maximize Opportunities for Reinvigorating the Economy or CREATE MORE Act. Pre-CREATE registered-business enterprises (RBEs) are currently enjoying the sunset provisions under the CREATE Act (RA No. 11534) which provides that those currently enjoying 5% Special Corporate Income Tax (SCIT) are given until April 2031 to continue enjoying the said tax regime. However, with the effectivity of the CREATE MORE Act, these pre-CREATE RBEs are given an extension until December 31, 2034 to continue enjoying the 5% SCIT including all corresponding exemptions from national and local taxes, fees, and charges.

As of the date, the Parent Company is in the process of completing the requirements before signing the registration agreement with PEZA for its electric fan, washing machine and refrigerator manufacturing activities to be located within the PEZA Laguna Technopark as new projects under Domestic Market Enterprise (DME).

25. Basic/Diluted Earnings Per Share

Basic earnings per share is calculated by dividing the net income attributable to the equity holders of the Parent Company by the weighted average number of common shares outstanding during the year. Diluted earnings per share is the same as the basic earnings per share as there are no potential dilutive shares outstanding.

The following are the income and share data used in the basic/diluted earnings per share computation:

	2025	2024
Net income attributable to the equity holders of the Parent Company (a)	P652,347	P152,732
Weighted average number of common shares (b) (Note 12)	422,718,000	422,718,000
Basic/diluted earnings per share (a/b)	P1.54	P0.36

There have been no other transactions involving common shares or potential common shares between the reporting date and the date of the completion of the consolidated financial statements.

26. Reporting Segments

For management purposes, the Group's business segments are grouped in accordance with that of Parent Company's lines of business, which are grouped on product basis as follows: GCMS (Global Consumer Marketing Sector), SNC (System Network and Communication) and others. Under this structure, each business domain will integrate its research and development, manufacturing and sales, thereby establishing an autonomous structure that expedites business operations to accelerate growth.

Products under each business segment are as follows:

Consumer - This segment includes audio, video primarily related to selling products for media and entertainment industry. This also includes home appliance and household equipment primarily related to selling for household consumers.

System Solutions Group (SSG) - This segment includes office automation equipment such as telecommunication products, security system and projectors primarily related to selling for business consumers.

Life Solutions (LS) - This segment includes lamps, ventilation fans, Panasonic Nano Generator (PNG) and other lighting accessories primarily use and sell to business consumers or thru distributors and dealers.

Others - This segment includes supermarket refrigeration such as cold room, showcases and bottle coolers primarily related to selling to supermarkets and groceries. This also includes solar panel which is primarily a project-based selling.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements. However, current and deferred taxes are managed on a group basis and are not allocated to operating segments.

The Group's segment information for the six-month periods ended September 30, 2025 and 2024 are as follows:

	September 30, 2025			
	Consumer	SSG	Others	Total
Consolidated Statement of Comprehensive Income				
Net sales	₱8,195,943	₱60,349	₱99,104	₱8,355,396
Cost of goods sold (Note 14)	6,751,959	46,256	72,940	6,871,155
Selling expenses (Note 15)	444,294	1,253	1,162	446,709
General and administrative expenses (Note 16)	671,298	9,244	21,330	701,872
Other income - net (Note 19)	360,481	-	-	360,481
Income before income tax	₱688,873	₱3,596	₱3,672	696,141
Provision for income tax				150,503
Net income				₱545,638

	September 30, 2024			
	Consumer	SSG	Others	Total
Consolidated Statement of Comprehensive Income				
Net sales	₱7,857,271	₱213,057	₱228,915	₱8,299,243
Cost of goods sold (Note 14)	6,673,676	188,062	193,279	7,055,017
Selling expenses (Note 15)	438,259	3,417	(26,470)	415,206
General and administrative expenses (Note 16)	619,145	16,439	43,352	678,936
Other income - net (Note 19)	49,466	(1,997)	51	47,520
Income before income tax	₱175,657	₱3,142	₱18,805	197,604
Provision for income tax				44,429
Net income				₱153,175

27. Financial Risk Management Objectives and Policies

Risk management structure

All policy directions, business strategies and management initiatives emanate from the BOD which strives to provide the most effective leadership for the Group. The BOD endeavors to remain steadfast in its commitment to provide leadership, direction and strategy by regularly reviewing the Group's performance. For this purpose, the BOD convenes at least once a month.

The Group has adopted internal guidelines setting forth matters that require BOD approval. Under the guidelines, all new investments, any increase in investment in businesses and any divestments require BOD approval.

The Group's principal financial instruments consist of cash and cash equivalents, receivables and AFS investments. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has various other financial instruments such as, accounts payable and accrued expenses, dividends payable and technical assistance fees payable which arise from normal operations.

The main risks arising from the Group's financial instruments are credit risk, liquidity risk and market risk. The Group also monitors the market price risk arising from all financial instruments.

Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur financial loss. With respect to credit risk arising from financial assets of the Group, which comprise of cash and cash equivalents, receivables, and other assets, the Group's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of the instrument.

The Group manages credit risk by assessing the creditworthiness of its counterparties. The Group trades only with recognized, creditworthy third parties. It is the Group's practice that all customers who wish to trade on credit terms are subject to credit verification procedures. In addition, receivable balances are monitored on an ongoing basis.

As of September 30, and March 31, 2025, the Group does not hold collateral or other credit enhancement for cash and cash equivalents, receivables and refundable deposits (included in other non-current assets). Thus, carrying values represent maximum exposure to credit risk. The Group acquired credit insurance for its domestic trade receivables, which covers both fully secured and partially secured receivables. Other than for domestic trade receivables, the Group's maximum exposure to credit risk is equivalent to the carrying value of the Group's financial assets as of September 30, and March 31, 2025.

Risk concentrations of the maximum exposure to credit risk

Concentrations arise when a number of counterparties are engaged in similar business activities or activities in the same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentration indicates the relative sensitivity of the Group's performance to developments affecting a particular industry or geographical location. Such credit risk concentrations, if not properly managed, may cause significant losses that could threaten the Group's financial strength and undermine public confidence.

Credit risks from cash in banks and cash equivalents are minimal since these are placed and recoverable from banks. Accordingly, these financial assets are considered to be low credit risk investments. The ECL allowance of these financial assets are measured using 12-month ECL (Stage 1) which is considered insignificant as at September 30 and March 31, 2025.

For receivables, an impairment analysis is performed at each reporting date using a provision matrix to measure ECL.

The credit quality of financial assets was determined as follows:

Cash and cash equivalents - are composed of bank deposits and money market placements made with reputable financial institutions and hence, graded as "high grade".

Receivables - high grade receivables are receivables from related parties and employees while standard grade receivables are receivables from dealers who pay within the Group's normal credit terms.

Other assets - pertains to refundable deposits and advances to employees which are considered as "high grade" since collectability of the refund is reasonably assured.

Liquidity Risk

The Group's objective is to maintain a balance between continuity of funding and flexibility through collection of receivables and cash management. Liquidity planning is being performed by the Group to ensure availability of funds needed to meet working capital requirements.

Overall, the Group's funding arrangements are designed to keep an appropriate balance between equity and debt to give financing flexibility while continuously enhancing the Group's business.

Market Risk

Market risk is the risk to earnings or capital arising from adverse movements in factors that affect the market value of financial instruments. The Group manages market risks by focusing on two market risk areas such as foreign currency risk and equity price risk.

Foreign currency risk

Exposure to currency risk arises from sales and purchases in currencies other than the Group's

functional currency. Foreign currency risk is monitored and analyzed systematically and is managed by the Group. The Group ensures that the financial assets denominated in foreign currencies are sufficient to cover the financial liabilities denominated in foreign currencies

Fair Value Measurement

The methods used by the Group in estimating the fair value of its assets and liabilities follow:

Cash and cash equivalents, receivables, refundable deposits and other assets

Carrying amounts of cash in banks, cash equivalents, receivables, refundable deposits and other assets maturing within twelve (12) months are assumed to approximate their fair values. This assumption is applied to liquid assets and the short-term elements of all other financial assets.

Accounts payable and accrued expenses

Carrying amounts of accounts payable and accrued expenses approximate their fair values due to the short-term nature of the transactions.

Events after the Reporting Period

Post year-end events that provide additional information about the Group's position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the notes to the consolidated financial statements when material.